

Leave Policy and Employee Time-Off Guidelines

Global Human Resources Operational Standard

Document ID: ANX-HR-POL-2026-089	Version: 4.2	Classification: Strictly Confidential - Internal Use Only
Owner Dept: Global HR Operations & Total Rewards	Last Updated: May 14, 2026	Effective Date: June 1, 2026

1.0 Corporate Purpose & Scope

AeroNexus Technologies recognizes that sustained organizational excellence, high-performance engineering, and product innovation require balancing intensive workplace contributions with appropriate rest and recovery frameworks. This policy serves as the definitive global standard for all employee leave configurations, time-off accruals, paid obligations, and compliance guardrails.

This policy applies to all full-time and part-time regular employees, localized fixed-term contractors operating directly on AeroNexus payroll, and executive personnel across all global subsidiaries, corporate offices, and remote workspace designations. In jurisdictions where localized statutory mandates conflict with or exceed the frameworks defined within this document, local laws will be integrated natively via localized HR Addenda (ANX-HR-ADD-LOC) without compromising the compliance reporting metrics outlined herein.

2.0 Technical & Operational Definitions

To ensure structural clarity within the AeroNexus Global Knowledge Management Engine, the following precise terminology applies throughout this document:

- **ANX-PeoplePortal:** The centralized Workday-backed Human Resources Information System (HRIS) utilized for time-tracking, attendance mapping, and formal time-off balance logging.
- **Accrual Period:** The designated monthly operational cycle starting on the 1st calendar day and concluding on the last calendar day, during which fractional time-off credits are deposited to an employee's profile.
- **FTE (Full-Time Equivalent):** An employee working a standard 40-hour work week. Accrual baselines are prorated linearly for employees configured beneath 1.0 FTE.
- **Lookback Horizon:** The rolling 12-month period calculated backward from the date an extended or continuous leave request is initiated, used to determine regulatory parameters like FMLA or statutory tenure checks.
- **Continuous vs. Intermittent Absence:** Continuous leave refers to unbroken multi-day or multi-week blocks of time off. Intermittent leave refers to time off taken in discrete increments (e.g., specific hours or single days) spread across a designated timeframe.

3.0 Paid Time Off (PTO) Architecture

3.1 Accrual Framework and Tenure Tiers

Paid Time Off (PTO) balances at AeroNexus accrue dynamically on a monthly basis. Calculations are executed automatically on the final business day of each calendar month. The exact rate of accrual is fundamentally determined by the employee's verified tenure band within the AeroNexus HR Database. Part-time employees operating on a designated schedule below 40 hours per week accrue PTO on a strict linear pro-rata basis corresponding to their configured FTE percentage.

Tenure Band (Completed Months)	Annual Accrual Cap (Days)	Monthly Accrual Base (Hours)	Maximum Carry-Forward Cap (Hours)
0 to 24 Months	20 Days	13.33 Hours	40.0 Hours
25 to 60 Months	25 Days	16.67 Hours	80.0 Hours
61+ Months	30 Days	20.00 Hours	120.0 Hours

3.2 Carry-Forward Restrictions and Excess Forfeiture

Employees are structurally encouraged to utilize their accrued PTO throughout the calendar year to support mental clarity and sustainable performance. On December 31st at 11:59 PM localized time, the ANX-PeoplePortal executes an automated system reconciliation. Accrued, unused PTO balances up to the specified "Maximum Carry-Forward Cap" will successfully transfer into the new calendar year. Any accrued balance exceeding this threshold will be permanently forfeited without exception or cash compensation, unless a formal operational freeze directive (ANX-OPS-FRZ) was signed by a Senior Vice President (SVP) due to critical product deployment windows.

3.3 Leave Encashment Rules

AeroNexus Technologies maintains a strict non-encashment rule for active personnel to discourage burnout. Leave encashment is only authorized upon formal separation of employment (resignation, retirement, or mutual termination). In such events, all accrued and unexpired PTO balances are calculated based on the employee's base daily salary rate at the time of separation and paid out within the final payroll cycle, subject to statutory tax regulations. In instances of sudden separation, retroactive manual adjustments to previous years' forfeited hours are explicitly prohibited.

4.0 Health, Sick & Wellness Leave

4.1 Statutory Sick Leave Framework

All regular AeroNexus personnel receive a baseline of 10 fully paid Sick Leave days at the beginning of each calendar year (renewed automatically on January 1st). Sick Leave is intended for the treatment, recovery, or medical diagnosis of an employee's own health conditions, or for the direct care of an immediate family member experiencing medical instability. Sick leave does not accrue month-over-month, does not carry forward into subsequent calendar years, and is never eligible for encashment payouts under any operational framework.

Critical Compliance Notification: Medical Certification Thresholds

Any continuous absence under Sick Leave that extends past 3 consecutive scheduled business days requires the employee to upload an official medical certificate or signed practitioner validation into the secure medical portal of ANX-PeoplePortal within 5 business days of returning to active status. Failure to attach this documentation converts the entire absence block into Unpaid Leave and triggers a formal HR disciplinary ticket for attendance non-compliance.

4.2 Corporate Wellness Leave

To proactively address employee mental wellness and reduce systemic occupational burnout, AeroNexus grants 2 floating "Wellness Days" per calendar year. These days are accessible to all employees immediately upon completion of their initial 90-day onboarding period. Unlike standard PTO, Wellness Days require no formal justification or business justification details, but they cannot be combined to create an extended block of leave longer than 4 calendar days alongside standard public holidays, except with written director-level authorization.

5.0 Specialized Leave Allocations

5.1 Comprehensive Parental & Bonding Leave

AeroNexus provides up to 16 weeks of 100% fully paid Parental and Child Bonding Leave to all eligible biological, adoptive, or foster parents following the birth, adoption, or formal placement of a child. Employees become eligible for this benefit after completing 6 consecutive months of regular employment prior to the anticipated delivery or placement date.

Operational Rules: This leave must be taken within the first 12 months following the child's arrival. It may be taken as a continuous 16-week block or split into a maximum of two separate blocks (e.g., an 8-week primary block and an 8-week return block), provided the secondary block is pre-scheduled with the relevant business unit lead at least 45 calendar days in advance.

5.2 Bereavement Leave

Employees are eligible for fully paid Bereavement Leave to manage funeral logistics, legal arrangements, and personal grieving following the loss of a relative. The duration depends entirely on the proximity of the relationship:

- **Immediate Family (Spouse, Child, Parent, Sibling):** Up to 5 consecutive business days of fully paid leave.
- **Extended Family (Grandparent, In-Laws, Legal Guardian):** Up to 3 consecutive business days of fully paid leave.

Should the employee require extensive international travel to attend memorial services, an additional 2 days of travel leave may be approved by the Direct Manager via an expedited request form in the portal.

5.3 Jury Duty and Civic Engagement

AeroNexus supports civic responsibilities completely. Regular employees summoned for jury duty or subpoenaed as a non-party witness by a court of law receive full regular pay for the duration of the court service up to a maximum limit of 20 business days per calendar year. Employees must upload an official

copy of the legal summons to the HR Operations team immediately upon receipt. If the employee is dismissed from court on any given day with more than 4 hours remaining in their standard shift, they are expected to log in remotely or report to their office workspace to fulfill operational tasks.

5.4 Military Leave

Employees who serve in the National Guard, Reserve components, or active military service branches are granted job-protected Military Leave in strict alignment with global statutory mandates (including USERRA within the US). For short-term annual training exercises (up to 15 business days per year), AeroNexus provides differential pay, ensuring that if their military base compensation is less than their standard corporate compensation, the company covers the difference. For long-term active deployments, the employee's position is held open for up to 5 total years of cumulative service, with full healthcare benefits maintained during the initial 24 months of deployment via corporate subsidy pathways.

6.0 Extended Absences: Unpaid Leave & Sabbatical Policies

6.1 Unpaid Leave of Absence (LOA) Guardrails

Unpaid Leave is an exceptional measure authorized only after all alternative paid leave balances (PTO, Wellness, Floating Holidays) have been completely exhausted. A request for Unpaid Leave for personal reasons extending beyond 5 consecutive business days must be accompanied by a formal business justification and approved by both the direct VP of the business unit and the HR Employee Relations lead. During an approved Unpaid Leave exceeding 30 calendar days, standard health insurance cost-sharing ceases, and the employee must bear the full cost of benefit premiums via localized corporate continuation structures (e.g., COBRA frameworks), and monthly PTO accruals are paused completely.

6.2 The AeroNexus Corporate Sabbatical Program

To reward multi-year dedication and stimulate fresh cognitive input, the company offers the *AeroNexus Sabbatical Program*. Upon completing 5 years of continuous full-time service, employees are eligible to apply for a 6-week partially paid sabbatical (compensated at 60% of base salary rate), or a 4-week fully paid sabbatical (compensated at 100% of base salary rate).

Sabbatical Scheduling Framework: Application tickets must be logged in ANX-PeoplePortal exactly 6 months prior to the target departure date. Teams may not support more than one sabbatical block simultaneously within the same agile scrum unit or core engineering pod. The employee must return to AeroNexus for a minimum baseline of 12 continuous months following the sabbatical completion; voluntary resignation within 12 months of a sabbatical return requires the employee to repay the sabbatical wage subsidy on a pro-rata baseline calculated by HR Payroll.

7.0 Organizational Roles & Responsibilities

Systemic tracking and operational execution of this policy rely on multi-tier ownership across the enterprise hierarchy:

7.1 Individual Employee Responsibilities

- Proactively enter all planned time-off requests into ANX-PeoplePortal at least 10 business days prior to taking leave for short durations, and 30 days prior for extended leaves.

- Coordinate coverage plans, update shared team calendars (Outlook/Slack integrations), and configure out-of-office automated email routing parameters prior to logging off.
- Ensure historical timecards and exception markers are resolved by the bi-weekly deadline to prevent payroll discrepancies.

7.2 Line Manager Responsibilities

- Review, audit, and either approve or reject pending time-off tickets in the management queue within 3 business days of submission.
- Actively monitor team-wide burnout metrics and ensure no single project sprint suffers from severe resource degradation due to simultaneous leave approvals.
- Enforce medical certificate timelines uniformly without personal favoritism, and escalate long-term absence patterns to Employee Relations promptly.

7.3 HR Operations & Total Rewards Responsibilities

- Maintain operational oversight of the ANX-PeoplePortal accrual configurations and resolve automated balance discrepancies.
- Administer tracking matrices for long-term leaves, coordinate statutory compliance verifications, and manage system locks for employees on extended leaves.
- Conduct comprehensive quarterly reviews of leave utilization patterns across divisions to inform executive workforce planning strategies.

8.0 Approval Matrix and Escalation Protocols

Standard time-off tickets route linearly from the requestor to their direct manager. For edge cases and elevated parameters, the following approval authority matrix governs the system:

Leave Type Requested	Duration Threshold	Primary Approver	Secondary / Final Escalation
Standard PTO / Sick / Wellness	≤ 10 Business Days	Direct Line Manager	System Automated Clearance
Standard PTO Block	> 10 Business Days	Direct Line Manager	Department Director Sign-off
Extended Unpaid Leave	> 5 Business Days	Department VP	HR Employee Relations VP
Corporate Sabbatical Block	4 to 6 Weeks	Department Director	VP of Human Resources
Critical Operational Freeze Window	Any Duration	SVP of Business Unit	Chief Human Resources Officer

8.1 Escalation Resolution Pathway

If an employee's time-off request is denied by their direct manager due to ambiguous operational constraints, and the employee believes the rejection directly violates core corporate wellness benchmarks or creates an immediate emergency hazard, the employee may formally elevate the ticket via the `ANX-HR-ESCALATE` queue. The HR Employee Relations unit will pull system metrics and issue a binding resolution framework within 48 business hours of the ticket logging event.

9.0 Frequently Asked Questions (FAQs) & Realistic Scenarios

Q1: I am currently working on a critical software launch for ProductX. My manager has announced a team-wide "Leave Blackout Window" for Q3. What happens to my PTO balance if I hit the carry-forward cap?

A: If an executive-approved operational freeze prevents you from utilizing your earned leave, your manager must file a formal exception request with HR Operations before November 15th. Upon verification, the platform will apply a temporary balance extension, allowing you up to March 31st of the following year to utilize the excess hours before forfeiture occurs.

Q2: Can I take my 16 weeks of Parental Leave intermittently by working 2 days a week and taking 3 days off over an extended multi-month timeline?

A: No. Parental Leave at AeroNexus can only be split into a maximum of two continuous blocks. Intermittent scheduling on a weekly basis creates significant resource allocation instabilities and is not structurally supported. You may, however, speak with your HR business partner to transition to a part-time 0.6 FTE schedule following your leave completion, subject to business unit approval.

Q3: I fell severely ill during my pre-approved paid vacation week and spent 3 days hospitalized. Can I retroactively claim those days as Sick Leave instead of PTO?

A: Yes. If you experience an emergency health issue while on vacation, you may file a retroactive adjustor ticket in the ANX-PeoplePortal. You must provide official hospital admission documentation covering those exact dates. Once validated by HR, 3 days of PTO will be credited back to your balance, and 3 days will be deducted from your Sick Leave allocation.

Q4: What happens if I submit my two-week resignation notice and immediately request to use my remaining 10 days of PTO during that exact notice window?

A: Taking extensive leave during a formal notice period is generally prohibited, as the notice period is structurally intended for operational knowledge transfer and offboarding workflows. Direct managers hold full veto authority over leave requests during this window. Any unused PTO will instead be calculated and paid out as part of your final termination check under Section 3.3.

10.0 Best Practices & Compliance Governance

10.1 Proactive Resource Mapping

Engineering and project managers must maintain an active 90-day forward availability matrix. Cross-training teams on core code repositories and critical support keys is essential to prevent single-point-of-failure blocks when key personnel take extended leaves. Agile scrum leaders should build a 10% velocity buffer into sprint

planning to account for unexpected short-term wellness or sick leaves without derailing delivery commitments.

10.2 Global Auditing Frameworks

The Global HR Compliance team runs quarterly automated audits across all corporate instances of ANX-PeoplePortal. These audits check for consistent application of medical documentation requirements, monitor for excessive unapproved unpaid absences, and flag managers who routinely ignore their approval queues. Discovered deviations are summarized and reported directly to the Chief Compliance Officer to maintain transparency and equity across the AeroNexus employee landscape.

11.0 Enterprise References & Cross-Linked Policies

For deep technical or procedural guidance, please refer to the following documents located within the AeroNexus Global Document Index:

- ANX-HR-HBK-2026 — AeroNexus Employee Handbook (Section 4.0: Culture & Workplace Rules)
- ANX-HR-SOP-502 — Medical Document Upload and HIPAA/GDPR Secure Storage Protocol
- ANX-FIN-AUD-022 — Separation of Employment Compensation Framework & Total Rewards Manual
- ANX-SEC-IAM-099 — System Identity and Access Control Deactivation Guidelines During Extended Leaves